

Model Exit Exam for Accounting & Finance Students

Instructions: Choose the best answer from the given alternatives. Answer all 100 questions.

1. Which of the following is an example of an external user of financial accounting information?
A. Company CEO
B. Factory Manager
☒ C. Potential Investor
D. Chief Operating Officer
2. A company receives a Birr 5,000 utility bill but does not pay it until the following month. What is the adjusting entry required at the end of the current month?
A. Debit Cash 5,000; Credit Accounts Payable 5,000
B. Debit Accounts Payable 5,000; Credit Utility Expense 5,000
☒ C. Debit Utility Expense 5,000; Credit Accounts Payable 5,000
D. Debit Utility Expense 5,000; Credit Cash 5,000
3. The trial balance lists the balances of all accounts before adjustments. After posting the adjustments, the adjusted trial balance proves the equality of:
A. Debits and credits of only the income statement accounts.
B. Debits and credits of only the balance sheet accounts.
☒ C. Total permanent and total temporary accounts.
D. Total debits and total credits of all accounts.
4. Under the periodic inventory system, the account used to record the transportation cost paid by the buyer is:
A. Inventory
B. Freight-Out
☒ C. Freight-In
D. Cost of Goods Sold
5. A manual accounting system relies on source documents. Which document provides the authoritative source for recording a credit sale?
A. Purchase Order
B. Sales Invoice
C. Cash Register Tape
D. Receiving Report
6. What is the impact of recording a NSF (Not Sufficient Funds) check on the Bank Balance side of a bank reconciliation?
☒ A. It is a deduction.
B. It is an addition.
C. It has no effect.
D. It is treated as an outstanding check.
7. The accounting concept that dictates Accounts Receivable should be reported on the balance sheet at the amount expected to be collected is:
A. Conservatism
B. Historical Cost
☒ C. Net Realizable Value
D. Materiality
8. A company uses the FIFO method. If the cost of goods available for sale is Birr 100,000 and ending inventory is Birr 30,000, what is the Cost of Goods Sold (COGS)?
A. Birr 30,000
B. Birr 70,000
C. Birr 100,000
D. Birr 130,000
9. According to IAS 2, Inventories are measured at the lower of cost and net realizable value (LCNRV). Net Realizable Value is defined as:
A. Fair value less costs to sell.
☒ B. Estimated selling price less estimated costs of completion and selling expenses.
C. Replacement cost of the inventory.
D. Original cost of the inventory.

10. A machine was purchased for Birr 500,000. It has an estimated life of 5 years and a salvage value of Birr 50,000. Using the Double-Declining Balance Method, what is the depreciation expense for the second year?
- A. Birr 200,000
~~B. Birr 120,000~~
 C. Birr 180,000
 D. Birr 100,000
11. The cost of installing a new piece of equipment should be capitalized because it is:
- A. A revenue expenditure.
~~B. Necessary to make the asset ready for its intended use.~~
 C. A period cost.
 D. Required by the tax authority.
12. In the Ethiopian Employment Income Tax proclamation, the pension contribution deducted from an employee's salary is:
- A. Taxable as part of gross income.
~~B. Fully deductible from gross income before calculating tax.~~
 C. Subject to a 10% flat tax rate.
 D. Paid entirely by the employer.
13. A partner who is personally insolvent but has a debit balance in their capital account during liquidation is referred to as a:
- A. Solved partner
 B. Realization partner
~~C. Deficient partner~~
 D. Limited partner
14. The maximum number of shareholders permitted in a Private Limited Company (PLC) in Ethiopia is:
- ~~A. 50~~
 B. 2
 C. 100
 D. Unlimited
15. The par value of a share of stock represents:
- A. The current market price of the stock.
 B. The maximum price the company can sell the stock for.
~~C. The minimum legal capital per share that must be retained by the corporation.~~
 D. The value set by the National Bank of Ethiopia.
16. Which characteristic is part of the fundamental qualitative characteristics defined by the IASB Conceptual Framework?
- A. Timeliness
 B. Verifiability
~~C. Faithful Representation~~
 D. Understandability
17. An impairment loss on a tangible asset should be recognized immediately in profit or loss when the asset's carrying amount exceeds its:
- A. Original cost.
 B. Fair value less costs to sell.
 C. Value in use.
~~D. Recoverable amount.~~
18. When using the aging of receivables method to estimate uncollectible accounts, the calculated amount represents:
- A. The required amount of Bad Debt Expense for the period.
~~B. The required ending balance of Allowance for Doubtful Accounts.~~
 C. The amount of cash expected to be collected next period.
 D. The total amount of receivables to be written off.
19. Costs incurred after the acquisition of a plant asset are capitalized if they meet the criteria for:
- ~~A. Additions and Improvements that increase the capacity or life of the asset.~~

- B. Regular maintenance and repairs.
 - C. Replacing minor parts of the machine.
 - D. Decreasing the book value of the asset.
20. A plant asset is acquired in exchange for a non-monetary asset. If the transaction lacks commercial substance, the new asset is recorded at:
- A. The fair value of the asset given up.
 - B. The fair value of the asset received.
 - ☒ C. The carrying amount (book value) of the asset given up.
 - D. The current replacement cost.
21. A purchased intangible asset that is determined to have an indefinite useful life (e.g., brand name) should be accounted for by:
- A. Amortizing it over 40 years.
 - B. Amortizing it over its expected useful life.
 - ☒ C. Not amortizing it, but testing it for impairment annually.
 - D. Expensing the cost immediately.
22. IFRS requires a Provision to be recognized only when an entity has a present obligation (legal or constructive) as a result of a past event, and:
- A. The amount can be reliably estimated, even if payment is not probable.
 - ☒ B. It is probable that an outflow of resources embodying economic benefits will be required to settle the obligation.
 - C. It is a contingent liability.
 - D. It is less than Birr 100,000.
23. A bond is issued at a premium. The amortization of this premium using the effective interest method will:
- A. Increase the interest expense each period.
 - ☒ B. Decrease the interest expense each period.
 - C. Have no effect on the interest expense.
 - D. Increase the carrying value of the bond each period.
24. Under IFRS 9, a debt investment should be measured at Fair Value Through Profit or Loss (FVPL) if the business model is:
- A. Held to collect contractual cash flows.
 - B. Held to collect contractual cash flows and selling.
 - ☒ C. Held for trading purposes.
 - D. Classified as a non-current asset.
25. The Equity Method of accounting for an investment is required when the investor holds:
- A. Less than 20% of the investee's voting stock.
 - ☒ B. Between 20% and 50% of the investee's voting stock, indicating significant influence.
 - C. More than 50% of the investee's voting stock.
 - D. Only debt securities.
26. A taxable temporary difference arises when the carrying amount of an asset is:
- A. Less than its tax base.
 - ☒ B. Greater than its tax base.
 - C. Equal to its tax base.
 - D. Less than its fair value.
27. Which step in the IFRS 15 model involves allocating the transaction price to separate performance obligations based on their standalone selling prices?
- A. Step 1: Identify the contract.
 - B. Step 3: Determine the transaction price.

- ~~C~~ Step 4: Allocate the transaction price.
D. Step 5: Recognize revenue.
28. When preparing the Statement of Cash Flows (SCF) using the Indirect Method, the gain on sale of equipment must be:
A. Added to Net Income.
~~B. Deducted from Net Income.~~
C. Treated as a separate cash flow in the Investing section.
D. Ignored, as it is a non-cash transaction.
29. Under IFRS 11, a joint arrangement where the parties have a right to the net assets of the arrangement is classified as a:
A. Joint Operation (JO)
~~B. Joint Venture (JV)~~
C. Partnership
D. Sales Agency
30. In a Joint Operation (JO), how must a participant account for its interest?
A. Using the Equity Method.
B. Using the Cost Method.
~~C. Recognizing its share of the JO's assets, liabilities, revenues, and expenses line-by-line.~~
D. Consolidating the JO's financial statements.
31. Which account is used by the Home Office to record the profits or losses reported by the branch?
~~A. Branch Current Account~~
B. Branch Income Summary Account
C. Home Office Current Account
D. Intercompany Profit Account
32. The reciprocal ledger accounts used to track transactions between the Home Office and the Branch are the:
A. Cash and Cash Equivalents accounts.
B. Intercompany Receivable and Payable accounts.
~~C. Branch Current and Home Office Current accounts.~~
D. Sales and Purchases accounts.
33. A Deferred Tax Liability generally results from:
A. A deductible temporary difference.
~~B. A taxable temporary difference.~~
C. A permanent difference.
D. A net operating loss.
34. In an equity-settled share-based payment transaction, the entity must measure the fair value of the goods or services received:
~~A. At the grant date.~~
B. At the exercise date.
C. At the settlement date.
D. Annually.
35. Subsequent to initial recognition, a biological asset must be measured at:
A. Cost less accumulated depreciation.
~~B. Fair value less costs to sell.~~
C. Historical cost.
D. Net book value.
36. According to IFRS 17, the profit expected to arise from an insurance contract group is recognized over time as the entity provides services. This component is known as the:
A. Insurance Contract Liability (ICL).
~~B. Contractual Service Margin (CSM).~~
C. Risk Adjustment (RA).
D. Loss Component.

37. In a business combination, the acquirer must recognize and measure the identifiable assets acquired, the liabilities assumed, and any non-controlling interest (NCI) at their:
- A. Carrying amounts.
 - ~~B. Fair values at the acquisition date.~~
 - C. Historical costs.
 - D. Present values.
38. The costs incurred by the acquirer to effect a business combination (e.g., legal and advisory fees) must be:
- A. Capitalized as part of the cost of the investment.
 - ~~B. Expensed immediately in profit or loss.~~
 - C. Treated as a reduction in share premium.
 - D. Capitalized as part of goodwill.
39. If the fair value of the net identifiable assets acquired exceeds the consideration transferred plus the fair value of the NCI, the result is recognized as a:
- A. Goodwill impairment loss.
 - ~~B. Gain from a bargain purchase (immediately in P/L).~~
 - C. Deferred credit.
 - D. Negative goodwill account.
40. In a consolidation worksheet, the elimination entry for the intercompany sale of inventory at a price higher than cost requires a Debit to which account to eliminate the unrealized profit?
- A. Inventory
 - B. Sales Revenue
 - ~~C. Cost of Goods Sold~~
 - D. Retained Earnings
41. The fundamental principle that justifies the consolidation of a parent's and subsidiary's financial statements is the Economic Entity Concept, which states that:
- A. The parent company's shareholders control the subsidiary.
 - B. The subsidiary is a separate legal entity.
 - ~~C. The parent and subsidiary operate as a single reporting entity.~~
 - D. All transactions must be recorded at historical cost.
42. The Non-Controlling Interest (NCI) is presented in the consolidated balance sheet as a component of:
- ☒ A. Current Liabilities
 - B. Non-Current Liabilities
 - ~~C. Equity~~
 - D. Deferred Revenue
43. When translating a foreign subsidiary's financial statements using the Current Rate Method, the sub's Share Capital is translated at the:
- A. Closing Rate
 - B. Average Rate
 - ~~C. Historical Rate~~
 - D. Forward Rate
44. The translation of a foreign currency monetary asset (e.g., Accounts Receivable) at the balance sheet date will result in a translation gain or loss recognized in Profit or Loss if the foreign operation is considered:
- A. A Joint Venture.
 - ~~B. Highly integrated (i.e., using the temporal method).~~
 - C. A foreign entity (i.e., using the current rate method).
 - D. A separate functional entity.
45. Management accounting primarily provides information to internal managers for purposes of:
- A. External reporting and compliance.
 - ~~B. Planning, control, and decision-making.~~

C. Calculating taxable income.

D. Evaluating competitor performance.

46. Which cost behavior classification changes in total proportionally to changes in the level of activity but remains constant per unit?

A. Fixed Cost

~~B. Variable Cost~~

C. Mixed Cost

D. Step Cost

47. In a Process Costing system using the FIFO method, the computation of Equivalent Units of Production (EUP) includes:

A. Only the units started and completed during the period.

B. Only the units transferred out.

~~C. The work needed to complete beginning Work-in-Process (WIP).~~

D. The total physical units in ending WIP.

48. Job Order Costing is most appropriate for a firm that:

A. Produces millions of identical bottles of soft drinks.

B. Refines crude oil into gasoline.

~~C. Manufactures custom-designed aircraft parts.~~

D. Produces cement in continuous streams.

49. The process of assigning overhead costs to products using departmental overhead rates rather than a single plant-wide rate aims to improve the accuracy of:

A. Direct material tracking.

B. Direct labor costing.

~~C. Product costing.~~

D. Selling expense allocation

50. In Activity-Based Costing (ABC), activities like setting up machines and issuing purchase orders are typically classified as:

A. Unit-Level Activities

~~B. Batch-Level Activities~~

C. Product-Sustaining Activities

D. Facility-Sustaining Activities

51. When using Variable Costing, Net Income is determined by subtracting total fixed costs from the:

A. Sales Revenue.

~~B. Contribution Margin.~~

C. Gross Profit.

D. Cost of Goods Sold.

52. In a make-or-buy decision, which cost is considered relevant?

A. Factory depreciation that will continue regardless of the decision.

~~B. The avoidable fixed manufacturing overhead.~~

C. The supervisor's salary who will be retained even if the component is purchased.

D. The original cost of the machine used to produce the item.

53. The potential benefit forgone by choosing one alternative over another is defined as a(n):

A. Relevant Cost

B. Sunk Cost

~~C. Opportunity Cost~~

D. Avoidable Cost

54. A Flexible Budget is superior to a static budget for performance evaluation because it:

A. Only includes fixed costs.

~~B. Adjusts budgeted costs to the actual level of activity achieved.~~

C. Does not require the use of standard costs.

D. Ignores volume variances.

55. A Direct Material Price Variance is typically computed at the time:

A. The material is used in production.

- B. The finished goods are sold.
~~C. The material is purchased.~~
D. The production order is completed.
56. The calculation for the Direct Labor Efficiency Variance compares:
A. Actual hours at the actual rate vs. Actual hours at the standard rate.
~~B. Actual hours at the standard rate vs. Standard hours allowed at the standard rate.~~
C. Actual hours at the actual rate vs. Standard hours allowed at the actual rate.
D. Actual hours at the standard rate vs. Standard hours allowed at the actual rate.
57. The goal of the financial manager should be to:
A. Maximize the firm's net income.
B. Minimize the firm's expenses.
~~C. Maximize the current market value of the company's stock.~~
D. Maximize sales revenue.
58. Which ratio measures a company's ability to pay off its short-term liabilities without relying on inventory?
A. Current Ratio
B. Debt-to-Equity Ratio
~~C. Quick Ratio (Acid-Test Ratio)~~
D. Inventory Turnover
59. The process of finding the present value of a series of future cash flows is called:
A. Compounding
B. Annuitizing
~~C. Discounting~~
D. Capitalizing
60. The unsystematic risk (diversifiable risk) component of an investment's total risk can be primarily eliminated through:
A. Selling short
B. Diversification
~~C. Buying index funds~~
~~D. Increasing beta~~
61. The Cost of Retained Earnings is generally considered to be equal to:
A. The cost of new common stock.
B. The after-tax cost of debt.
~~C. The cost of common stock equity (e.g., using CAPM).~~
D. The dividend payout ratio.
62. A major limitation of the Payback Period capital budgeting method is that it:
A. Does not use cash flows.
~~B. Ignores cash flows that occur after the payback period.~~
C. Requires complex discounting calculations.
D. Does not account for the initial investment.
63. The Degree of Operating Leverage (DOL) is calculated by dividing the percentage change in EBIT by the percentage change in:
A. Net Income
B. Sales
~~C. Earnings Per Share (EPS)~~
D. Fixed Costs
64. The Residual Dividend Policy suggests that a firm should pay dividends only after:
A. Its current ratio reaches 2:1.
~~B. Satisfying all acceptable investment opportunities.~~
C. The stock price has reached its historical high.
D. All short-term debt has been retired.
65. The simplest method for generating a preliminary forecast of future financial statements is the:
A. Regression Analysis Method.
B. Market Share Analysis.

☐ C. Percent of Sales Method.

D. Monte Carlo Simulation.

66. The optimal cash balance is determined by minimizing the trade-off between:

A. Receivables and Payables.

B. Sales and Cost of Goods Sold.

☒ C. Opportunity cost of holding cash and cost of transacting/converting assets.

☐ D. Fixed costs and variable costs.

67. A financing strategy that uses permanent (long-term) capital to finance permanent current assets and uses short-term financing to cover fluctuating (seasonal) current assets is called the:

A. Aggressive Approach.

B. Conservative Approach.

☒ C. Maturity Matching (Hedging) Approach.

D. Short-term Reliance Approach.

68. The primary mechanism through which funds are transferred from savers to borrowers is the:

A. Fiscal System

☒ B. Financial System

C. Political System

D. Operational System

69. Which type of financial institution pools funds from many investors to purchase a wide variety of securities, offering diversification?

A. Commercial Banks

B. Insurance Companies

☒ C. Mutual Funds

D. Central Banks

70. A commercial bank's primary function is to:

A. Underwrite initial public offerings (IPOs).

☒ B. Accept deposits and extend loans.

C. Regulate the money supply.

D. Insure bank deposits.

71. The Term Structure of Interest Rates (Yield Curve) is typically upward-sloping when:

A. Short-term rates are higher than long-term rates.

☒ B. Investors expect future inflation and interest rates to rise.

C. The economy is in a recession.

D. The risk-free rate is zero.

72. The market where firms first sell new issues of stocks and bonds to the public is the:

A. Secondary Market

B. Money Market

☒ C. Primary Market

D. Derivatives Market

73. Treasury Bills (T-Bills), which are short-term debt instruments issued by the government, are typically traded in the:

A. Capital Market

☒ B. Money Market

C. Foreign Exchange Market

D. Futures Market

74. Financial regulation is often justified on the grounds of preventing Systemic Risk, which refers to:

A. The risk specific to a single company.

☒ B. The risk of the entire financial system collapsing due to the failure of one or a few key institutions.

C. The risk of inflation.

D. The risk of fraud in the primary market.

75. Ethiopia's financial system is traditionally considered to be bank-based because:

- A. There are no insurance companies.
 - ☒ B. Commercial banks historically dominate the system and serve as the main source of corporate finance.
 - C. The central bank is privately owned.
 - D. There are many foreign banks operating.
76. The Nature, Purpose, and Scope of an Audit of financial statements is primarily to:
- A. Provide absolute assurance that the financial statements are free of material misstatements.
 - ☒ B. Obtain a high, but not absolute, level of assurance that the statements are free from material misstatement.
 - C. Certify that the financial statements are 100% accurate.
 - D. Guarantee the future viability of the entity.
77. What is the highest level of ethical requirement for professional accountants in Ethiopia?
- A. Due professional care
 - B. Professional competence
 - ☒ C. Integrity, Objectivity, Professional Competence, Confidentiality, and Professional Behavior.
 - D. Compliance with all tax laws.
78. The organization that issues International Standards on Auditing (ISAs) is the:
- A. International Accounting Standards Board (IASB).
 - ☒ B. International Auditing and Assurance Standards Board (IAASB).
 - C. International Federation of Accountants (IFAC).
 - D. Public Company Accounting Oversight Board (PCAOB).
79. The auditor must establish an understanding of the terms of the engagement with the client. This understanding is typically documented in the:
- A. Management representation letter.
 - ☒ B. Engagement letter.
 - C. Audit Report.
 - D. Internal control memorandum.
80. The primary responsibility for the preparation and fair presentation of the financial statements in accordance with IFRS lies with:
- A. The external auditor.
 - B. The audit committee.
 - ☒ C. Management.
 - D. The internal auditor.
81. An auditor will issue a Qualified Opinion when the financial statements contain a material misstatement that is:
- A. Pervasive.
 - ☒ B. Not pervasive.
 - C. Immaterial.
 - D. An immaterial scope limitation.
82. When using attribute sampling for tests of controls, the sampling risk is the risk that the auditor's conclusion based on the sample may be different from the conclusion had the entire population been subjected to the same audit procedure. This risk is typically referred to as the risk of:
- A. Incorrect acceptance.
 - ☒ B. Assessing control risk too high or too low.
 - C. Statistical error.
 - D. Non-sampling risk.
83. Tolerable Misstatement is the maximum error in a population that the auditor is willing to accept, and it is most directly related to the concept of:
- A. Sampling risk.
 - B. Control risk.

D. Inherent risk.

☒ C. Materiality.

84. To test the assertion of Completeness for sales, the auditor should trace items from the:
A. Sales Journal to the Shipping Documents.
☒ B. Shipping Documents to the Sales Journal. (Ensures all shipments are billed.)
C. Accounts Receivable ledger to the General Ledger.
D. Cash Receipts Journal to the Bank Statement.

85. A primary control to prevent the immediate lapping of Accounts Receivable (concealing the theft of cash by delaying the recording of cash receipts) is:
A. Sending monthly statements to customers.
☒ B. Segregating the duties of handling cash and recording cash receipts.
C. Performing a bank reconciliation.
D. Confirming receivables annually.

86. Which document is the primary evidence that a liability has been incurred and serves as the basis for recording a purchase in the voucher register?
A. Purchase Order
B. Receiving Report
☒ C. Vendor's Invoice
D. Materials Requisition

87. The primary audit procedure used to test the assertion of Completeness for Accounts Payable is to trace items:

A. From the Accounts Payable ledger to the receiving reports.

☒ B. From receiving reports (or unrecorded invoice file) to the Accounts Payable ledger. (Ensures all liabilities are recorded.)

C. From the Cash Disbursement Journal to the bank statement.

D. From the Vendor's Invoice to the Purchase Order.

88. The fundamental tool of Fiscal Policy used by the government to influence the economy is:

A. Setting the interest rate.

☒ B. Government spending and taxation.

C. Regulating the money supply.

D. Managing foreign exchange.

89. Which is a key characteristic of a tax?

A. It is a payment for a specific service rendered by the government.

☒ B. It is a mandatory and unrequited financial contribution.

C. It is voluntary.

D. It must be levied only by the Federal government.

90. In Ethiopia's public finance system, the central government collects all major taxes (e.g., VAT, Corporate Income Tax) and then shares revenue with regional states based on an agreed-upon formula. This is an example of:

A. Unitary Public Finance.

☒ B. Fiscal Federalism.

C. Tax Evasion.

D. Centralized Monetary Policy.

91. The standard rate for Value Added Tax (VAT) on taxable supplies in Ethiopia is:

A. 5%

☒ B. 15%

C. 30%

D. 10%

92. The maximum marginal tax rate applied to high-income employment earnings in Ethiopia is typically:

A. 20%

B. 25%

C. 30%

D. 35%

93. The primary difference in financial reporting objectives between a government and a for-profit entity is the government's focus on:

A. Profit maximization.

~~B. Accountability and compliance with the budget and legal requirements.~~

C. Earnings per share (EPS).

D. Maximizing market share.

94. Under the Modified Accrual Basis of accounting used by governmental funds, when are expenditures typically recognized?

A. When they are incurred, regardless of payment.

~~B. When the liability is incurred and will be liquidated with expendable available financial resources.~~

C. When cash is paid.

D. When the purchase order is issued.

95. IPSAS is primarily designed to improve the quality of financial reporting by public sector entities, requiring the use of which basis of accounting for most financial statements?

A. Cash Basis

B. Modified Accrual Basis

~~C. Full Accrual Basis~~

D. Budgetary Basis

96. The fund used to account for all financial resources and expenditures that are not accounted for in any other fund is the:

~~A. Special Revenue Fund~~

~~B. Capital Projects Fund~~

~~C. General Fund~~

D. Fiduciary Fund

97. The primary purpose of a Capital Projects Fund is to account for the financial resources used for the acquisition or construction of:

A. Routine maintenance of assets.

B. Long-term operating costs.

~~C. Major capital facilities (e.g., a new road or building).~~

D. Debt service payments.

98. The Debt Service Fund is used to account for and accumulate resources for:

A. Short-term operating liabilities.

~~B. The payment of principal and interest on general long-term liabilities.~~

C. Inter fund loans.

D. Financing capital projects.

99. Which fund accounts for activities that provide goods or services to other government departments on a cost-reimbursement basis (like a central motor pool or IT service)?

A. Special Revenue Fund

B. Debt Service Fund

~~C. Internal Service Fund~~

D. Fiduciary Fund

100. Fiduciary Funds are used to account for assets held by the government in a trust or custodial capacity, where the assets:

A. Can be used to finance the government's general operations.

~~B. Belong to external parties and cannot be used by the government itself.~~

C. Must be liquidated within one year.

D. Are restricted for capital projects only.